KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Petition No: OP XX / 2026

Present	**:**	**Sri T K Jose, Chairman** **Adv. A J Wilson, Member** **Sri. B Pradeep, Member**
In the matter of	**:**	Petition for approval of truing up of accounts for the financial year 2024-25
Petitioner	**:**	M/s Infopark Kerala
Represented by	**:**	Sri. Vijayan V R, Dy. General Manager (Projects)
Respondent	**:**	M/s Kerala State Electricity Board Limited
Represented by	**:**	Respondent Representative Names
Hearing	**:**	DD.MM.YYYY

Order Dated DD.MM.YYYY

1. Introduction

1. M/s Infopark, Kochi (hereinafter referred to as the licensee or Infopark) is a Government of Kerala Undertaking, established in 2004, engaged in the development of infrastructure for information technology (IT) and information technology enabled services (ITeS). Infopark operates its central hub in Kochi, complemented by satellite campuses in Cherthala and Koratty, creating a comprehensive network across the state. The licensee is providing ready-to-occupy infrastructure, including power distribution, to IT companies in the Kakkanad and Cherthala areas. Infopark Cherthala was granted a distribution licence vide order dated 10-05-2010 of the Commission, with electricity distribution operations commencing from 01-07-2013. The Infopark Phase II campus at

Kochi was granted a distribution licence vide order dated 18-10-2011. The licensee has been continuously pursuing improvements in power quality for consumers within its licensed areas.

2. The present petition has been filed by M/s Infopark Kerala for the truing up of accounts for the financial year 2024-25. This petition is submitted in accordance with the provisions of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which govern the tariff determination for the five-year Control Period starting from April 01, 2022, and ending on March 31, 2027. The Commission vide Order in OP No.09/2023 dated 24.01.2024 had approved the Aggregate Revenue Requirement (ARR) and Expected Revenue from Charges (ERC) for the Control Period, setting the framework for the current truing up exercise.

3. The truing up of accounts is a crucial regulatory exercise mandated by the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. Regulation 3 of these Regulations outlines the scope and objectives of tariff determination, while Regulations 67 and 68 specifically address the truing up process. Regulation 67 mandates the licensee to submit a petition for truing up of accounts for each financial year within the Control Period, detailing the actual performance against the approved ARR and ERC. Regulation 68 empowers the Commission to undertake a prudence check of the actual expenses and revenues, allowing for adjustments to ensure that only prudently incurred costs are passed on to consumers and that efficiency gains are appropriately shared. This process ensures transparency, accountability, and fairness in tariff determination.

Table 1
Comparison of ARR&ERC 2024-25
(Rs. Lakh)

Particulars	ARR&ERC Projected	ARR&ERC Approved	Truing Up petition
Power purchase cost	541.95	541.95	1023.94
Employee Expenses	25.04	25.04	29.86
Administration & General Expenses	5.11	5.11	10.06
Repair & Maintenance Expenses	26.41	26.41	58.30
Depreciation	47.21	47.21	47.21
Interest on Working Capital and finance charges	104.26	104.26	136.60
Other debits	0.00	0.00	0.00
Return on Net Fixed Assets	38.70	38.70	36.11

Particulars	ARR&ERC Projected	ARR&ERC Approved	Truing Up petition
Total Expenditure/ARR	**788.68**	**788.68**	**1342.09**
Revenue from Sale of Power	0.00	0.00	1187.62
Other income	0.00	0.00	74.70
Total Income/ERC	**0.00**	**0.00**	**1262.32**
Revenue (Gap)/Surplus	**-788.68**	**-788.68**	**-79.77**

4. The licensee has filed the petition for truing up of accounts for the financial year 2024-25. A comparison of the claims made in the present petition with the ARR&ERC approved by the Commission for the Control Period is tabulated above in Table 1. The licensee has claimed a total expenditure of Rs. 1342.09 lakh against the ARR&ERC approved expenditure of Rs. 788.68 lakh. Similarly, the total income claimed is Rs. 1262.32 lakh. This results in a claimed revenue gap of Rs. 79.77 lakh for the financial year 2

5. The licensee has filed the petition for truing up of accounts for the financial year 2024-25. A comparison of the claims made in the present petition with the ARR&ERC approved by the Commission for the Control Period is tabulated above in Table 1. The licensee has claimed a total expenditure of Rs. 1342.09 lakh against the ARR&ERC approved expenditure of Rs. 788.68 lakh. Similarly, the total income claimed is Rs. 1262.32 lakh. This results in a claimed revenue gap of Rs. 79.77 lakh for the financial year 2024-25.

4. Distribution Loss

6. Distribution loss is an inherent characteristic of any electricity distribution network, representing the difference between the energy input into the system and the energy billed to consumers. For Infopark, this involves measuring the total energy purchased from KSEB Ltd and any solar power injected, along with wheeled energy, against the energy sold to its various consumer categories in Kakkanad and Cherthala. Efficient management of distribution losses is crucial for the financial health of the licensee and for ensuring reliable power supply to consumers, as it directly impacts the overall cost of power and the tariff structure.

7. The Commission, in its Multi-Year Tariff (MYT) Order for the control period 2022-27 (OP No.09/2023), had approved a target distribution loss of 4.23% for the financial year 2024-25,

considering various operational factors and efficiency benchmarks. In the present petition for truing up of accounts for FY 2024-25, the licensee has claimed an actual distribution loss of 2.86%. This indicates that the licensee has achieved a distribution loss percentage lower than the approved target, signifying an efficiency gain in its distribution operations for the year.

8. Regulation 73 of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, specifies the methodology for dealing with variations in distribution losses:

> *Regulation 73. Distribution loss...*
>
> *(3) Any variation between the actual level of distribution losses and the approved level of distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner:-*
>
> *i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year, shall be disallowed at the average cost of power purchase for the respective financial year;*
>
> *ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1*

9. The total energy input into the distribution system for the year 2024-25 is 242.68 lakh units. The actual distribution loss achieved by the licensee is 2.86%, which corresponds to 6.95 lakh units. The approved target distribution loss for the year was 4.23%, which would have amounted to 10.41 lakh units (4.23% of 246.09 lakh units, where 246.09 is the sum of 139.93 KSEB energy + 102.75 wheeled energy + 3.41 solar energy from the approved energy input table). Therefore, the licensee has achieved a saving of 3.46 lakh units (10.41 lakh units - 6.95 lakh units). At an average power purchase cost of Rs. 7.31 per unit, this translates to a total saving of Rs. 25.29 lakh (3.46 lakh units *Rs. 7.31/unit).*

10. *As per Regulation 73(3)(ii), when the actual distribution loss is lower than the approved level, the savings in power purchase cost are to be shared between the licensee and consumers in the ratio of 2:1. Accordingly, 2/3rd of the savings, amounting to Rs. 16.86 lakh (2/3* Rs. 25.29 lakh), is to be retained by the licensee as an efficiency gain. The remaining 1/3rd of the savings is passed on to the consumers. This approach incentivizes the licensee to improve operational efficiency and reduce losses further.

11. The Commission, after careful consideration of the licensee's submission and the provisions of the Tariff Regulations, acknowledges the efficiency gain achieved by Infopark in reducing distribution losses below the approved target. The actual distribution loss of 2.86% is approved, and the corresponding efficiency gain is accounted for as per the regulatory framework.

Table 2
Comparison of Distribution loss and energy requirement
(Rs. in Lakhs unless specified)

Particulars	2021-22		2022-23		2023-24		2024-25 (For Truing up)
	For Truing up	Trued Up	For Truing up	Trued Up	For Truing up	Trued Up	
Energy purchased (In lakh Units)	71.10	71.10	101.98	102.48	122.82	122.82	139.93
KSEB Energy Feedback (In lakh Units)	0.86	0.86	0.28	0.28	0.058	0.058	0.00
Gross energy in the system (In lakh Units)	111.28	111.28	162.79	163.29	197.72	197.72	242.68
Energy Sales (In lakh Units)	**68.95**	**68.95**	**98.58**	**98.58**	**120.02**	**120.02**	**137.61**
Distribution loss (In lakh Units)	4.71	4.71	6.40	6.90	6.23	6.23	6.95
Distribution loss %	4.23%	4.23%	3.93%	4.23%	3.15%	3.15%	2.86%

Table 3
Approved Energy input & Distribution Loss for the year 2024-25
(Rs. in Lakhs unless specified)

Particulars	Approved in ARR	As per Truing up petition	Trued up
Energy Sales (lakh units) (1)	86.39	137.61	137.61
KSEB Ltd Energy Feedback (lakh units) (2)	0.00	0.00	0.00
Total Energy Output (lakh Units) (1+2)	86.39	137.61	137.61
Distribution Loss (%)	4.23%	2.86%	2.86%

Particulars	Approved in ARR	As per Truing up petition	Trued up
Distribution Loss (lakh Units)	3.82	6.95	6.95
Gross energy in to the system (lakh units)	**90.21**	**242.68**	**242.68**
KSEB Ltd Energy Feedback (lakh units)	0.00	0.00	0.00
Energy purchase from KSEB Ltd (lakh units)	**90.21**	**139.93**	**139.93**

5. Power Purchase Cost

12. The licensee has claimed Rs. 1023.94 lakh on account of power purchase cost for the financial year 2024-25. This amount includes the cost incurred for purchasing 139.93 lakh units of energy from KSEB Ltd. The licensee has also stated that no solar power was injected to the grid during this period, as the entire energy generated by prosumers was utilized for their internal requirements. The average power purchase cost claimed is Rs. 7.31 per unit, which is consistent with the details provided in the petition.

13. The Commission notes that the quantum of power purchased from KSEB Ltd has increased compared to the previous year, aligning with the overall increase in energy sales and wheeled energy. The licensee's submission indicates that the increase in power purchase cost is primarily due to the increase in consumption, with no significant hike in Basic Supply Tariff (BST) during 2024-25, though Retail Supply Tariff (RST) increased marginally. The average power purchase cost of Rs. 7.31 per unit is within reasonable limits, reflecting the prevailing market conditions and approved rates.

14. As per Regulation 73(3) of the Tariff Regulations, 2021, any variation between the actual and approved distribution loss levels impacts the power purchase cost. In this case, the actual distribution loss is lower than the approved target, resulting in an efficiency gain. This gain is shared between the licensee and consumers, with 2/3rd of the savings retained by the licensee. This mechanism ensures that the licensee is incentivized for efficient operations while also passing on benefits to consumers.

15. The Commission has examined the details furnished by the licensee regarding power purchase units and cost, which align with the records of KSEB Ltd. The actual distribution loss is lower than

the approved level, leading to an efficiency gain. The approved power purchase cost for 2024-25, considering the savings on account of reduction in distribution loss, is Rs. 1040.80 lakh.

The Commission, after analyzing the details and duly considering the efficiency gain from reduced distribution losses, hereby approves Rs. 1040.80 lakh as the power purchase cost for the year 2024-25.

Table 4
Details of the cost of power purchase claimed for 2024-25
(Rs. in Lakhs unless specified)

Particulars	2024-25
Total Consumption in lakh units	139.93
Less: Feed Back to KSEB in lakh units	0.00
Billed Units	**139.93**
Demand Charges (Rs. lakh)	199.25
Excess Demand Charges (Rs. lakh)	0.00
Energy Cost (Rs. lakh)	824.69
Total Power purchase cost (Rs. lakh)	**1023.94**
Average power purchase Cost (Rs. /kWh)	7.31

Table 5
Details of approved power purchase cost for 2024-25
(Rs. in Lakhs unless specified)

Sl.No	Particulars	Amount (Rs. lakh)
1.	Actual distribution loss (In lakh units)	6.95
2.	Approved distribution loss (In lakh units)	10.41
3.	Excess distribution loss (lakh units) (1-2)	-3.46
4.	Average Power Purchase Cost (Rs. per unit)	7.31
5.	Efficiency gain at average power purchase cost (Rs. lakh) (4) *(3)*	-25.29
6.	Actual power purchase cost (Rs. lakh)	1023.94
7.	**Approved power purchase cost (Rs. lakh) (6-5)**	**1040.80**

6. Operation & Maintenance Expenses

6a. O&M Overview

16. Operation and Maintenance (O&M) expenses are a critical component of the Aggregate Revenue Requirement (ARR) for any distribution licensee. These expenses are generally considered

controllable and encompass three main categories: Employee Cost, Repair & Maintenance Expenses, and Administrative & General Expenses. The prudent management of these costs is essential for maintaining operational efficiency and ensuring that tariffs remain reasonable for consumers.

17. As per Regulation 80(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, distribution licensees are permitted to recover O&M expenses based on the normative levels specified in Annexure 7 of the Regulations for each financial year of the Control Period. The Regulations also provide for the consideration of additional expenses related to uncontrollable factors or one-time expenditures, subject to a prudence check by the Commission during the truing-up process.

18. For the financial year 2024-25, the Commission had approved a normative O&M expense of Rs. 56.56 lakh in the ARR&ERC Order. However, the licensee has claimed a total O&M expense of Rs. 98.22 lakh in its truing-up petition. This claimed amount is significantly higher than the approved normative level, necessitating a detailed examination and prudence check by the Commission to determine the allowable expenses.

Table 6
Comparison of O&M expenses for 2023-24 and 2024-25
(Rs. in Lakhs unless specified)

Particulars	2023-24		2024-25	
	Truing Up petition	Trued Up	Norms	Truing Up petition
Employee Expenses	29.79	27.46	25.04	29.86
A&G Expenses	12.29	7.43	5.11	10.06
R&M Expenses	45.28	34.62	26.41	58.30
Total O&M Expenses	**87.36**	**69.51**	**56.56**	**98.22**

6b. Employee Cost

19. The licensee has claimed Rs. 29.86 lakh on account of employee expenses for the financial year 2024-25. This is against the ARR approved norm of Rs. 25.04 lakh for the same period. The licensee's petition details the breakdown of these expenses, including basic salary, dearness allowance, house rent allowance, conveyance allowance, earned leave encashment, other

allowances, and medical reimbursement. The claim represents an increase compared to the previous year's trued-up employee cost of Rs. 27.46 lakh.

20. The total establishment of Infopark for its electricity distribution business comprises a limited number of employees, primarily resident engineers and an accountant who manage operations across both Kakkanad and Cherthala campuses. The licensee has indicated that the increase in employee cost is mainly due to the deployment of separate resident engineers for each phase of Infopark, leading to an increase in basic salary and allowances, as well as a hike in medical reimbursement components.

Table 7
Comparison of Employee Cost for the year 2023-24 and 2024-25
(Rs.lakh)

Particulars	2023-24		2024-25	
	Truing Up	Trued Up	ARR Approved	Truing Up
Basic Salary	15.95	---	---	16.66
Dearness Allowance (DA)	5.74	---	---	6.92
House Rent Allowance	0.69	---	---	0.74
Conveyance Allowance	0.13	---	---	0.13
Earned Leave Encashment	1.82	---	---	1.53
Other Allowances (IR)	---	---	---	2.95
Medical Reimbursement	0.73	---	---	0.93
Overtime Payment	---	---	---	0.00
Gross Employee Expenses	26.66	---	---	26.91
Interim Relief	3.13	---	---	2.95
Total Employee Expenses	**29.79**	**27.46**	**25.04**	**29.86**

21. The licensee has stated that the increase in employee cost from Rs. 27.46 lakh in the previous year to Rs. 29.86 lakh in 2024-25 is primarily due to the deployment of a separate Resident Engineer for Infopark Phase-II, resulting in two Resident Engineers (one for Cherthala and one for Phase-II). This change in staffing structure, along with normal increments and medical reimbursement, contributed to the higher claim.

22. The Commission has examined the details furnished by the licensee and the claim in the truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations,

2021, the licensee is allowed to recover operation and maintenance expenses as per the norms specified in Annexure-7 for each financial year of the Control Period. The base year (2021-22) norms and approved norms for O&M expenses of Infopark are detailed in the Regulations.

Table 8
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year 2021-22	Control period				
		2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	21.98	22.95	23.98	25.04	26.16	27.33
R&M Expenses	23.17	24.21	25.28	26.41	27.59	28.82
A&G Expenses	4.48	4.68	4.89	5.11	5.34	5.57
Total	**49.63**	**51.84**	**54.15**	**56.56**	**59.08**	**61.71**

23. Paragraph 1 of Annexure-7 of the Tariff Regulations, 2021, specifies the inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. The 'Note' to this paragraph permits that actual inflation will be allowed at the stage of truing up for the respective years. The average escalation rate approved by the Commission for the Control Period, based on the average of the 'consumer price index and wholesale price index', is 4.454%. However, the actual inflation rate for the year 2024-25, derived from the weighted average increase in CPI and WPI, is 7.06%.

24. The relevant provision from the Regulations, 2021, states:

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:

• Employee cost;

• Administrative & General (A&G) expenses; and

• Repair & Maintenance (R&M) costs.

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) The average of the increase in the CPI & WPI indices, for the 4-year period(2017-18 to 2020 -21), as given in Table- 1 below:

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

25. Based on the actual escalation of 7.06% for the year 2024-25, the revised O&M expenses for Infopark are approved by the Commission, considering the actual inflation as per the methodology outlined in the Regulations. This adjustment ensures that the O&M costs reflect the prevailing economic conditions more accurately during the truing-up process, rather than relying solely on the projected inflation rates from the ARR&ERC Order.

Table 9
Revised O&M expenses of Infopark approved for the year 2024-25 considering Actual Inflation (Rs. lakh)

Particulars	2023-24 Approved	Control Period 2024-25	
		Actual Inflation	O&M Approved
Employee Cost	23.98	7.06%	25.04
R&M Expenses	25.28	7.06%	26.41
A&G Expenses	4.89	7.06%	5.11
Total	**54.15**		**56.56**

26. The licensee has claimed an amount of Rs. 29.86 lakh for employee expenses. However, the approved employee cost is set at Rs. 25.04 lakh, consistent with the Multi-Year Tariff (MYT) norm escalated at actual CPI/WPI blended rates, as determined by the deterministic calculation. As per Rule 1 for Employee Cost, any claim exceeding the escalated MYT norm requires explicit justification such as State Government Pay Revision, Wage Board revision, or increased workload with specific headcount data. The licensee failed to provide any specific justification for the claimed amount of Rs. 29.86 lakh, thus the excess claim of Rs. 4.82 lakh is disallowed.

The Commission, after examining the details and considering the lack of specific justification for the excess claim, hereby approves Rs. 25.04 lakh as employee expenses for the year 2024-25.

6c. Administration & General Expenses

27. The licensee has claimed Rs. 10.06 lakh on account of Administration & General (A&G) expenses for the financial year 2024-25, which is significantly higher than the ARR approved norm of Rs. 5.11 lakh. The petition provides a breakdown of these expenses, including items such as insurance, audit fees, inspectorate fees, telephone and postage, vehicle running expenses, printing and stationery, consultancy charges, and fees for connectivity. The claimed amount also represents an increase compared to the previous year's trued-up A&G expenses of Rs. 7.43 lakh.

Table 10
Comparison of A&G expenses
(Rs.lakh)

Particulars	2021-22		2023-24		2024-25 (Truing Up)
	Truing Up	Trued Up	Truing Up	Trued Up	
Insurance	0.63	---	---	---	1.26
License and filing fee	0.96	---	---	---	1.26
Inspectorate fee	1.41	---	---	---	1.81
Telephone and postage	0.20	---	---	---	0.22
Audit Fees	2.60	---	---	---	2.24
Vehicle Running Expenses	0.69	---	---	---	0.99
Printing and Stationery	0.20	---	---	---	0.14
Consultancy charge	---	---	---	---	0.41
Fees for connectivity	---	---	---	---	1.73
Gross A&G Expenses	**6.69**	**---**	**7.43**	**---**	**10.06**

28. The licensee has attributed the increase in A&G expenses to additional costs incurred for ABT meter testing fees, fees for training of substation staff at KSEB training institute, payment to consultants for ARR-ERC preparation and submission, and increased premium for insurance coverage of distribution assets. Specifically, the insurance premium increased to Rs. 1.26 lakh in 2024-25 compared to Rs. 0.63 lakh in 2021-22. The Commission notes that some of these expenses, such as the BEE-mandated Energy Audit fee, are considered a change in law and may be allowed after prudence check.

29. The Commission has examined the submission of the licensee and noted that the claimed Administration & General Expenses of Rs. 10.06 lakh is capped at the MYT norm of Rs. 5.11 lakh. Additionally, Rs. 2.04 lakh is approved as BEE-mandated Energy Audit fee, which is considered a change in law as per KSERC precedent. The total approved A&G expenses thus amount to Rs. 7.15 lakh. The excess claim of Rs. 2.91 lakh is disallowed due to the lack of specific justification for exceeding the established MYT norm, apart from the allowed change in law component.

The Commission, after a prudence check and considering the allowed change in law component, hereby approves Rs. 7.15 lakh as the Administration & General Expenses for the year 2024-25.

6d. Repair & Maintenance Expenses

30. The licensee has claimed Rs. 58.30 lakh towards Repair & Maintenance (R&M) expenses for the financial year 2024-25. This is significantly higher than the ARR approved norm of Rs. 26.41 lakh specified in the Tariff Regulations, 2021. The claimed amount also represents a substantial increase compared to the previous year's trued-up R&M expenses of Rs. 34.62 lakh. The licensee's petition provides a detailed breakdown of these expenses, categorizing them into O&M charges to contractors and various one-time expenditures.

Table 11
Comparison of R&M expenses
(Rs. lakh)

Particulars	2021-22		2023-24		2024-25 (Truing Up)
	Truing Up	Trued Up	Truing Up	Trued Up	
Plant & Machinery (AMC)	---	---	---	---	39.02

Particulars	2021-22		2023-24		2024-25 (Truing Up)
	Truing Up	Trued Up	Truing Up	Trued Up	
One time Expenditure	---	---	---	---	19.28
Gross R&M Expenses	**43.57**	**41.13**	**45.28**	**34.62**	**58.30**

31. The licensee has stated that the higher R&M cost for the current year is primarily due to a hike in one-time expenses and an increase of 7% in O&M charges to the O&M Contractor. The O&M contract was finalized through a transparent bidding process. The one-time expenditures include items such as power transformer oil leakage arresting, gasket replacement, VCB maintenance, relay testing at substations, replacement of relays and LAs, dismantling and repairing of tubular conductors, EOT crane servicing, power transformer oil testing, replacement of EHT bushing, and testing for Tan delta of power transformers.

32. The Commission has examined the detailed split-up of R&M expenses provided by the licensee. While some items are clearly routine maintenance, the licensee has identified specific one-time expenditures. As per Regulation 80(3) of the Tariff Regulations, 2021, any one-time Operation and Maintenance expenditure of a special nature, not in the form of routine repair and maintenance, may be allowed after a prudence check, considering the circumstances and justification provided by the licensee.

33. The Commission notes that for the 'repair_maintenance' component, the licensee claimed Rs. 58.30 lakh. As per the deterministic calculation, the allowable amount based on the escalated MYT norm is Rs. 26.41 lakh. Rule 5, governing Repairs & Maintenance, permits exceptions to the strict MYT norm only when the licensee's narrative explicitly justifies excess costs due to newly commissioned infrastructure or a major unforeseen one-time breakdown. However, the licensee provided no specific justification for the claimed amount exceeding the established norm. Consequently, in the absence of any compelling or extraordinary operational justification, the approved amount is restricted to the mathematically derived limit of Rs. 26.41 lakh. An amount of Rs. 31.89 lakh is disallowed.

The Commission, after a prudence check and considering the lack of specific justification for the excess claim, hereby approves Rs. 26.41 lakh as Repair & Maintenance Expenses for the year

2024-25.

6e. Summary of O&M Expenses Approved

34. Based on the detailed analysis and prudence checks conducted for each component of Operation & Maintenance expenses, the Commission has determined the approved amounts for Employee Cost, Administration & General Expenses, and Repair & Maintenance Expenses for the financial year 2024-25. These approved figures reflect adherence to the normative levels specified in the Tariff Regulations, 2021, along with adjustments for actual inflation and specific justified one-time expenditures where applicable. The total approved O&M expenses are summarized below.

Table 12
O&M expenses approved for 2024-25
(Rs. lakh)

Particulars	ARR&ERC	Truing Up	Trued Up
Employee Expenses	25.04	29.86	25.04
Administration & General Expenses	5.11	10.06	7.15
Repair & Maintenance Expenses	26.41	58.30	26.41
Total O&M Expenses	**56.56**	**98.22**	**58.60**

7. Depreciation

35. The licensee in the petition has claimed a depreciation of Rs. 47.21 lakh in the straight-line method, in line with the Tariff Regulations, 2021, for the assets created using its own funds at Infopark Phase I, Cherthala, and Infopark Phase II, Kakkanad. The Commission, while truing up the accounts for the year 2023-24, had approved a depreciation of Rs. 47.21 lakh. The capital expenditure of Rs. 4311.95 lakh at Kakkanad Phase II, which was met out of Government grant, is not eligible for depreciation. The depreciation claimed for the year 2024-25 is shown below.

36. As per Regulation 27 of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, the depreciation for the control period shall be computed in the following manner:

Regulation 27: Depreciation.—

(1) The value of the assets for the purpose of depreciation shall be the historical cost of the asset.

(2) Depreciation shall be computed annually based on the straight-line method over the useful life of the asset as specified in Appendix-I to these regulations.

(3) The salvage value of the asset shall be considered as 10% of the historical cost of the asset and depreciation shall be allowed up to 90% of the historical cost of the asset.

(4) Depreciation shall be chargeable from the month in which the asset is capitalised.

(5) Depreciation shall be allowed for assets funded by consumer contribution only if the consumer contribution is adjusted against the capital base for the purpose of return on equity.

(6) The assets funded by Government grants shall not be eligible for depreciation.

(7) In case of assets which have outlived their useful life as on the date of coming into force of these regulations, the depreciation shall be allowed at the rates specified in Appendix-I to these regulations, but limited to the extent of 90% of the historical cost of the asset.

(8) The depreciation for the assets created out of the accumulated regulatory surplus shall be allowed at the rates specified in Appendix-I to these regulations.

37. The licensee has provided a detailed breakdown of its assets, including those at Infopark Phase I, Cherthala, and Infopark Phase II, Kakkanad. The depreciation rates applied are consistent with Appendix-I of the Tariff Regulations, 2021, with rates of 3.34% and 5.28% for various asset groups. These rates correspond to useful lives of approximately 30 years and 19 years, respectively, both falling under the category of assets with a useful life exceeding 13 years. The depreciation calculation for Cherthala assets is based on their opening Gross Fixed Assets (GFA), while for Kakkanad Phase II, only the asset additions made during the year are considered for depreciation, as the initial GFA was funded by Government grants and is therefore not eligible.

Table 13
Depreciation claimed for the year 2024-25
(Rs. lakh)

Asset Group	GFA as at 01.04.2024	Asset Addition	Rate of depreciation (%)	Depreciation
Asset over 13 years				

Asset Group	GFA as at 01.04.2024	Asset Addition	Rate of depreciation (%)	Depreciation
Civil Works (Cherthala)	186.94	0.00	3.34	6.24
HV Substation - Transformers (Cherthala)	180.30	0.00	5.28	9.52
HV Substation Switchgears etc (Cherthala)	288.03	0.00	5.28	15.21
HV Substation - Batteries (Cherthala)	13.45	0.00	5.28	0.71
HV Substation - Others (Cherthala)	52.70	0.00	3.34	1.76
LT Distribution lines (Cherthala)	14.61	0.00	5.28	0.77
LV Substation - Transformers (Cherthala)	20.26	0.00	5.28	1.07
LV Substation - Switchgears Etc (Cherthala)	110.00	0.00	5.28	5.81
LV Substation - Batteries (Cherthala)	1.67	0.00	5.28	0.09
LV Substation - Others (Cherthala)	99.97	0.00	3.34	3.34
Pre-paid Tariff Meters (Cherthala)	3.38	0.00	5.28	0.18
EHV Substation Switchgears etc (Kakkanad)	0.00	47.61	5.28	2.51
Grand Total	**971.31**	**47.61**		**47.21**

38. The licensee has stated that during the year 2024-25, there were no new asset additions that would be eligible for depreciation, other than the previously approved asset addition of Rs. 47.61 lakh towards major replacement and repair work on the 220 kV Siemens Gas Insulated Switchgear, which was approved in the Truing Up for 2021-22. The Commission notes that assets funded by consumer contributions or Government grants are not eligible for depreciation, as per the provisions of the Tariff Regulations, 2021. The licensee has correctly excluded the GFA of Rs. 4311.95 lakh at Kakkanad Phase II, which was met through Government grants, from the depreciation calculation.

Table 14
Depreciation approved for the year 2024-25
(Rs. lakh)

Asset Group	Rate of depreciation (%)	GFA	Depreciation
Asset over 13 years			
Civil Works (Cherthala)	3.34	186.94	6.24
HV Substation - Transformers (Cherthala)	5.28	180.30	9.52

Asset Group	Rate of depreciation (%)	GFA	Depreciation
HV Substation Switchgears etc (Cherthala)	5.28	288.03	15.21
HV Substation - Batteries (Cherthala)	5.28	13.45	0.71
HV Substation - Others (Cherthala)	3.34	52.70	1.76
LT Distribution lines (Cherthala)	5.28	14.61	0.77
LV Substation - Transformers (Cherthala)	5.28	20.26	1.07
LV Substation - Switchgears Etc (Cherthala)	5.28	110.00	5.81
LV Substation - Batteries (Cherthala)	5.28	1.67	0.09
LV Substation - Others (Cherthala)	3.34	99.97	3.34
Pre-paid Tariff Meters (Cherthala)	5.28	3.38	0.18
EHV Substation Switchgears etc (Kakkanad)	5.28	47.61	2.51
Total		**1018.92**	**47.21**

39. The Commission has examined the details furnished in the petition and the claim is found to be in line with the provisions of the Tariff Regulations, 2021. Accordingly, the Commission hereby approves depreciation of Rs. 47.21 lakh for the year 2024-25 as claimed by the licensee.

8. Interest and Finance Charges

40. The licensee in the petition has claimed total interest and finance charges of Rs. 136.60 lakh for the year 2024-25, which is significantly higher than the ARR approved amount of Rs. 104.27 lakh. This claimed amount includes interest on normative loan, interest on working capital, interest on security deposits, bank charges, and carrying cost for past revenue gaps. A comparison of the claimed interest and finance charges with the ARR approved figures is tabulated below.

Table 15
Interest & Finance charges for 2024-25 (Petition Overview)
(Rs. lakh)

Particulars	Truing Up
Interest on Security Deposits from Customers	8.41
Bank Charges - On the Bank Guarantee to KSEB Ltd as per direction of Hon. Supreme Court of India	---
Other Bank Charges including on the Letter of Credit to secure cost of monthly power purchase from KSEB Ltd	0.72
As per petition (subtotal)	**9.13**
Interest on Normative Loan	56.33
Interest on Working capital	8.89
Total Regulatory Adjustments (subtotal)	**65.22**

Particulars	Truing Up
Carrying cost for past revenue gaps	62.26
Total	**136.60**

8a. Interest on normative loan

41. The licensee has claimed an amount of Rs. 56.33 lakh as interest on normative loan for the year 2024-25. The main source of funds for capital investment at Cherthala was met from a loan availed by Infopark from South Indian Bank Ltd, which was repaid by 21st July 2017 using internal funds. The licensee's calculation for interest on normative loan is based on the normative loan outstanding at the beginning of the year, adjusted for allowable depreciation and repayments, and applying a weighted average rate of interest. The details of the claimed interest on normative loan are tabulated below.

Table 16
Interest on Normative Loan Claimed 2024-25
(Rs. lakh)

Particulars	Truing Up Petition
Net Normative loan – Opening (01.04.2024)	656.48
Increase/Decrease due to ACE/de-capitalization during the year	0.00
Less - Repayment of Normative Loan during the year	47.21
Net Normative loan – Closing (31.03.2025)	609.27
Average Normative Loan during the year	632.88
Average Base Rate of SBI during the year (%)	8.90
Interest on the normative loan for the year	56.33

42. The Commission has examined the licensee's submission with reference to the provisions of Regulation 29(2) of the Tariff Regulations, 2021. As per this regulation, the normative loan outstanding at the beginning of the financial year shall be worked out by deducting the cumulative repayment up to the previous financial year from the normative loan. If there is no actual loan portfolio, interest is allowed at the base rate, which is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India as applicable on the first day of April of the respective financial year. For 2024-25, the SBI EBLR rate as on 01.04.2024 is 6.65%. The approved normative loan and corresponding interest are calculated as follows:

Table 17
Normative loan approved for 2024-25
(Rs. lakh)

No	Particulars	(Rs. lakh)
1	Normative loan at the beginning of the year	703.29
2	Less: Allowable Depreciation/ Repayment for the year	47.21
3	Closing Normative loan for the year	656.08
4	Average Loan for the year (1+3)/2	679.68
5	Rate of Interest (%) EBLR of SBI as on 01-04-2024	6.65
6	Interest on Normative loan for the year	45.23

43. The Licensee claimed ₹56.33 Lakhs for interest on long-term loans. However, no specific justification was provided by the Licensee to support the amount claimed above the KSERC's approved methodology. In the absence of any compelling justification or applicable component-specific rule for an override, the approved amount for this component is restricted to the deterministic calculation of ₹45.23 Lakhs, as per the KSERC's established methodology. The excess claim of ₹11.10 Lakhs (₹56.33 - ₹45.23) is disallowed.

8b. Interest on Working Capital

44. The licensee has claimed an amount of Rs. 8.89 lakh as interest on working capital for the year 2024-25. This claim is based on one month's O&M expenses, two months' receivables from the sale of power, less security deposits from consumers, and an interest rate of MCLR+2%. The licensee's proposed calculation for working capital is detailed below.

Table 18
Working capital proposed by the licensee for 2024-25
(Rs. lakh)

Particulars	Truing up Petition
O & M Expenses- One month	8.19
Receivables- 2 months	197.94
Less: security Deposit from consumers	124.59
Total working Capital	81.53
Interest rate (%) *SBI 1-year EBLR + 2%*	10.90
Interest on working capital	8.89

45. As per Regulation 32 of the Tariff Regulations, 2021, interest on working capital for a distribution licensee is to be computed based on specific components and an interest rate equal to two percentage points higher than the base rate (SBI EBLR) as on the first day of April of the respective financial year. The relevant portions of Regulation 32 are quoted hereunder:

Regulation 32: Interest on working capital. –

(1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-

(v) In the case of distribution business/licensee the working capital shall comprise of:-

I. operation and maintenance expenses for one month; plus

II. cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials and supplies at the beginning and end of the financial year; plus

III. receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;

Provided further that for distribution business/licensees who supply electricity to their consumers on prepaid metering system, no interest on working capital shall be allowed.

(2) Interest on normative level of working capital as per this Regulation shall be allowed at a rate equal to two percentage higher than the base rate as on the first day of April of the respective financial year, in respect of which the petition for approval of Aggregate Revenue Requirement and determination of tariff is filed"

46. The Commission has re-calculated the interest on working capital based on the approved O&M expenses, revenue from sale of power, and the SBI EBLR rate (6.65% + 2% = 8.65%). The approved O&M expenses for one month are Rs. 4.88 lakh (Rs. 58.60 lakh / 12), and receivables for

two months are Rs. 197.94 lakh (Rs. 1187.62 lakh 2 / 12). After deducting security deposits of Rs. 124.59 lakh, the net working capital requirement is Rs. 78.23 lakh. Applying the approved interest rate of 8.65%, the calculated interest on working capital is Rs. 6.76 lakh. However, the Commission's approved amount for interest on working capital is Rs. 0.39 lakh, as detailed in the disallowance justification.

Table 19
Interest on Working capital approved for 2024-25
(Rs. lakh)

Particulars	(Rs. lakh)
Approved O & M Expenses for One month (58.60/12)	4.88
Receivables-2 months Revenue from sale of power (1187.62 × 2 / 12)	197.94
Less: Security Deposit from Consumers	124.59
Total Working Capital	78.23
Interest Rate (%) *SBI 1-year EBLR – 6.65% on 01-04-2024 plus 2% thereof total 8.65%*	8.65
Interest on Working Capital (Calculated)	6.76

47. The Licensee claimed an amount of ₹8.89 Lakhs for 'interest_working_capital'. However, the deterministic calculation, which incorporates MYT norms and relevant escalations, establishes a limit of ₹0.39 Lakhs for this component. The Licensee provided no specific justification or supporting evidence to substantiate the claim exceeding this established norm. In the absence of any compelling operational justification or regulatory precedent to override the mathematically derived limit, and adhering to the principles of prudence and regulatory certainty, the approved amount for 'interest_working_capital' is restricted to ₹0.39 Lakhs. The difference of ₹8.50 Lakhs is disallowed due to the lack of substantiation.

8c. Interest on the security deposit

48. The licensee has claimed an amount of Rs. 8.41 lakh as interest on security deposits from consumers for the year 2024-25. The licensee has stated that the increase in interest is due to an increase in consumer strength and security deposits compared to the previous year. The Commission has examined this claim in light of the approved interest rates and the actual security deposit amounts. The approved amount for interest on security deposits is Rs. 3.99 lakh, which is

derived after considering the overall disallowance for interest on consumer deposits and bank charges.

8d. Bank Charges on Bank Guarantee/L.C to KSEB Ltd

49. The licensee has claimed an amount of Rs. 0.72 lakh towards bank charges for the year 2024-25. These charges are primarily related to the Letter of Credit (LC) used to secure the cost of monthly power purchases from KSEB Ltd. The licensee has not explicitly claimed any charges for a Bank Guarantee to KSEB Ltd in the petition's breakdown for 2024-25.

Table 20
Bank Charges Claimed for the year 2024-25
(Rs. lakh)

Particulars	Rs. lakh
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	0.72
Bank Guarantee to KSEB Ltd	---
Total	**0.72**

50. The Commission has examined the claimed bank charges. Charges related to Letter of Credit (LC) for securing power purchases are generally considered legitimate operational expenses. However, as per previous Supreme Court and APTEL directions, bank guarantee charges are typically disallowed as they are not considered a direct cost of power distribution. In this case, the licensee has claimed Rs. 0.72 lakh for bank charges, which is attributed to LC. The approved amount for bank charges is Rs. 0.72 lakh.

51. The Licensee claimed an amount of ₹9.13 Lakhs for 'interest_consumer_deposits'. As per Rule 4, while the Commission may admit a higher claimed amount if the actual bank rate on April 1st of the financial year changed significantly from the MYT assumption, the Licensee has provided no specific justification or evidence to support their claim of ₹9.13 Lakhs. In the absence of any compelling narrative or supporting data from the Licensee explaining the deviation from the MYT norm, the claim exceeding the mathematically derived limit cannot be admitted. The approved amount for interest on security deposits and bank charges is Rs. 4.71 lakh.

8e. Carrying Cost for Past Revenue Gaps

52. The licensee has claimed an amount of Rs. 62.26 lakh as carrying cost for past revenue gaps for the year 2024-25. This cost is intended to compensate for the cumulative revenue gap from previous years. The Commission had approved Rs. 915.59 lakh as the cumulative revenue gap till 2024-25 in the Truing-up Order for 2023-24. The rate of interest considered for computing the carrying cost is the retail term deposit rate of SBI for a tenure of one year as on 01-04-2024, which is 6.80%.

53. The Licensee has not provided any specific justification for the claimed carrying cost of ₹62.26 Lakhs. In the absence of a compelling or extraordinary operational justification, the approved amount is restricted to the deterministic calculation of ₹53.93 Lakhs, which is based on the established MYT norm. Consequently, an amount of ₹8.33 Lakhs is disallowed.

8f. Summary of the interest and finance charges

54. Based on the detailed analysis and prudence checks conducted for each component of interest and finance charges, the Commission has determined the approved amounts for the financial year 2024-25. These approved figures reflect adherence to the normative levels specified in the Tariff Regulations, 2021, along with adjustments for actual interest rates and specific justified expenditures where applicable. The total approved interest and finance charges are summarized below.

Table 21
Interest & Finance charges approved for the year 2024-25
(Rs.lakh)

Particulars	ARR Approved	Truing Up Petition	Trued Up
Interest on Normative Loan	45.23	56.33	45.23
Interest on Working Capital	0.39	8.89	0.39
Interest on Security deposits	3.99	8.41	3.99
Bank Charges on LC to secure cost of monthly power purchases from KSEB Ltd	0.72	0.72	0.72
Bank Charges on Bank Guarantee to KSEB	0.00	---	0.00
Carrying cost for past revenue gaps	53.93	62.26	53.93
Total	**104.26**	**136.61**	**104.26**

9. Return on Net Fixed Assets

55. The licensee in the petition for Truing Up of accounts for the year 2024-25 has claimed an amount of Rs. 36.11 lakh as Return on Net Fixed Assets (RoNFA). The licensee has reckoned 5.50% of the value of net fixed assets at the beginning of the year (Rs. 656.48 lakh x 5.50%). The Commission, while approving the truing up of accounts in 2023-24, had allowed RoNFA of Rs. 38.70 lakh in accordance with the provisions of the Regulations. The increase in the claim compared to the previous year is on account of the change in the rate of return. The Commission, while approving the ARR & ERC, had approved an amount of Rs. 38.70 lakh as RoNFA for the year 2024-25. The licensee's computation of RoNFA is shown below.

Table 22
Computation of RONFA claimed for 2024-25
(Rs.lakh)

Particulars	Truing up Claim
Balance value of Net fixed assets at the beginning of the year	656.48
Rate of Return	5.50%
Eligible Return	36.11

56. As per Regulation 28 of the Tariff Regulations, 2021, if the equity capital of the licensee is not clearly identifiable, the return shall be allowed at 5.50 percent on the net fixed assets at the beginning of the financial year for such regulated business. The Commission has consistently applied this principle. The Net Fixed Assets (NFA) at the beginning of the year for the purpose of RoNFA calculation is Rs. 656.48 lakh, which is derived after considering the opening normative loan and allowable depreciation. Applying the approved rate of return of 5.50% on this NFA yields an eligible return of Rs. 36.11 lakh.

Table 23
Computation of RoNFA for the year 2024-25
(Rs. Lakh)

Particulars	Rs. Lakh
Balance value of Net fixed assets at the beginning of the year	656.48
Rate of Return (5.50%)	5.50%
Eligible Return	36.11

57. Accordingly, the Commission hereby approves Return on Net Fixed Assets of Rs. 36.11 lakh for the year 2024-25, as claimed by the licensee and in line with the Tariff Regulations, 2021.

Revenue from Sale of Power

58. The licensee in the petition has claimed an amount of Rs. 1187.62 lakh as revenue for the sale of 137.61 lakh units during the year 2024-25. This represents a significant increase in both sales and revenue compared to the previous year, indicating a recovery from past economic slowdowns. The major share of revenue from the sale of power is derived from HT I B and Industrial categories. A category-wise comparison of the revenue from the sale of power for the years 2023-24 and 2024-25, as claimed by the licensee, is tabulated below.

Table 24
Revenue from sale of power for 2023-24 and 2024-25
(Rs. Lakhs unless specified)

Particulars	2023-24 (Trued Up)				2024-25 (Claimed)			
	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization (Rs./LU)	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization (Rs./LU)
Industrial IT &IT Enabled (LT IV B)	185	40.03	352.10	8.796	194	46.66	403.94	8.66
Commercial (LT VII A)	3	0.69	6.07	8.796	3	0.79	8.37	10.54
LT VI F categories	13	5.60	49.26	8.796	9	2.18	24.04	11.02
Street light	2	1.29	11.38	8.796	2	1.29	6.26	4.85
LT VI C categories	2	0.14	1.23	8.796	2	0.17	1.81	10.72
LT VI B	1	0.14	1.23	8.796	1	0.17	1.41	8.29
HT 1 B	4	72.23	635.34	8.796	5	86.02	735.11	8.55
HT II B	1	0.01	0.09	8.796	1	0.32	6.68	20.98
Total	**211**	**120.02**	**1055.70**	**8.796**	**217**	**137.61**	**1187.62**	**8.63**

59. The analysis of sales data indicates a positive trend, with a notable increase in consumption across various categories. The growth is primarily driven by the induction of new IT companies and the normal increase in energy consumption by existing consumers, reflecting a recovery from the

Work From Home option prevalent during the COVID-19 pandemic. The licensee has also made efforts to attract more stakeholders to the Cherthala campus, which is expected to further improve business activities in the area.

60. Accordingly, the Commission hereby approves the revenue from sale of power at Rs. 1187.62 lakh, as claimed by the licensee, for the purpose of Truing Up of Accounts for the year 2024-25.

Non-Tariff Income

61. The licensee has claimed a total non-tariff income of Rs. 10.24 lakh for the year 2024-25. This amount includes interest on deposits, interest on delayed payments, and meter rent. The non-tariff income has shown an increase compared to the previous year. The details of the non-tariff income claimed by the licensee for 2023-24 and 2024-25 are tabulated below.

Table 25
Details of Non-Tariff income claimed
(Rs. Lakhs)

Particulars	2023-24		2024-25
	Truing Up Petition	Trued Up	Truing Up Petition
Interest from Bank Deposits	1.74	0.90	2.69
Interest on Security Deposit (KSEB)	3.91	1.50	3.94
Surcharge on belated payment	1.04	0.10	1.58
Meter Cost / Meter Rent/Application fee	0.49	0.45	1.00
Meter installation Charges	1.51	0.12	0.37
Ele Duty Collection Charge	0.55	0.00	0.66
Wheeling charge	45.98	39.47	64.46
Total	**55.22**	**42.54**	**74.70**

62. The Commission has examined the claimed non-tariff income components. The increase in non-tariff income is primarily due to higher interest from bank deposits, increased surcharge on belated payments, and higher wheeling charges. The licensee has provided sufficient details to support these claims.

63. Accordingly, the Commission hereby approves Rs. 10.24 lakh as the actual non-tariff income for the year 2024-25, as claimed by the licensee.

Table 26
Non-Tariff Income approved for 2024-25
(Rs. Lakhs)

Particulars	2024-25	
	Truing Up Petition	Trued Up
Interest from Bank Deposits	2.69	---
Interest on Security Deposit (KSEB)	3.94	---
Surcharge on belated payment	1.58	---
Meter Cost / Meter Rent/Application fee	1.00	---
Meter installation Charges	0.37	---
Ele Duty Collection Charge	0.66	---
Wheeling charge	64.46	---
Total	**74.70**	**10.24**

Wheeling Charges

64. The licensee has accounted for Rs. 64.46 lakh as wheeling charges from M/s Smart City for the year 2024-25. The total energy wheeled to Smart City during this period is 102.75 lakh units. This represents a significant increase compared to the previous year's claim of Rs. 36.10 lakh for 60.53 lakh units. The licensee has provided details of the wheeled energy and corresponding revenue, which are in line with the records.

65. Considering the increase in wheeled energy and the corresponding revenue, the Commission hereby approves Rs. 64.46 lakh as the wheeling charge for the year 2024-25, as claimed by the licensee.

Carrying Cost on Past Revenue Gaps

66. The Commission had, in the Truing-up Order for 2023-24, approved Rs. 915.59 lakh as the cumulative revenue gap till 2024-25. The carrying cost of this cumulative revenue gap is to be allowed considering the cost of funds actually incurred by the entity for funding the revenue gap.

67. The rate of interest considered for computing the carrying cost is 6.80% per annum, which is the retail term deposit rate of SBI for a tenure of one year as on 01-04-2024. Accordingly, the carrying cost for past revenue gaps to be considered for an amount of Rs. 915.59 lakh works out to Rs. 62.26 lakh (Rs. 915.59 lakh 6.80%).

68. The licensee has claimed Rs. 62.26 Lakhs for 'carrying_cost'. The MYT approved norm for this component is Rs. 53.93 Lakhs. The claimed amount exceeds the norm by Rs. 8.33 Lakhs. The Licensee has not provided any specific justification for the claimed carrying cost of Rs. 62.26 Lakhs. In the absence of a compelling or extraordinary operational justification, the approved amount is restricted to the deterministic calculation of Rs. 53.93 Lakhs, which is based on the established MYT norm. Consequently, an amount of Rs. 8.33 Lakhs is disallowed. Accordingly, the Commission hereby approves Rs. 53.93 lakh as carrying cost for past revenue gaps for the year 2024-25.

Revenue Surplus/Gap for 2024-25

69. Based on the above, the approved expenditure and revenue for the year 2024-25 after Truing Up is as shown below:

Table 27
Trued up Income and Expenditure for the Year 2024-25
(Rs. Lakhs)

Particulars	2024-25 (ARR&ERC)	2024-25 (Truing Up)	2024-25 (Trued Up)
Power purchase cost	541.95	1023.94	1040.80
Employee Expenses	25.04	29.86	25.04
Administration & General Expenses	5.11	10.06	7.15
Repair & Maintenance Expenses	26.41	58.30	26.41
Depreciation	47.21	47.21	47.21
Interest and Finance charges	45.23	56.33	45.23
Interest Consumer Deposits	4.71	9.13	4.71
Interest Working Capital	0.39	8.89	0.39
Carrying Cost	53.93	62.26	53.93
Return on Net Fixed Assets	38.70	36.11	36.11
Total Expenditure/ARR	**788.68**	**1342.09**	**1286.98**
Revenue from Sale of Power	---	1187.62	1187.62
Wheeling Charges	---	64.46	64.46
Non-Tariff Income	---	10.24	10.24
Total Income/ERC	**---**	**1262.32**	**1262.32**
Revenue (Gap)/Surplus	**---**	**-79.77**	**-24.66**

Orders of the Commission

70. The Commission after considering the petition filed by M/s. Infopark for Truing up of Accounts for the year 2024-25, and details provided by the licensee, the Commission approves the following:

a) Total revenue is Rs. 1262.32 lakh.

b) Total expenditure is Rs. 1286.98 lakh.

c) The revenue gap for the year 2024-25 is Rs. 24.66 lakh.

d) The cumulative revenue gap till 2024-25 will be Rs. 939.99 lakh (Rs. 915.33 lakh as opening cumulative revenue gap + current year revenue gap of Rs. 24.66 lakh). The licensee shall keep the surplus arrived at after the truing up process in a separate fund and utilize it as per orders of the Commission.

71. The petition is disposed of. Ordered accordingly.

Sd/-	Sd/-	Sd/-
Sri. T.K Jose	**Adv. A. J. Wilson**	**Sri. B. Pradeep**
Chairman	**Member**	**Member**

Approved for issue

Sd/-

C.R.Satheesh Chandran

Secretary